Team 1 :

Price skimming at £3.99

We chose price skimming, capturing high-willedness-to-pay early adopters first, protecting margin, and building the price anchor we'll need for the next three years. In a crowded premium market, the fastest way to die is to compete on price.

Competitors cluster at £1.80–£2.50. That problem to focus on is positioning. Urban premium consumers pay for identity signals, functional proof, and brand credibility. Target gross margin: 55–60% from day one.

Internal v/s External Factors

Internal factors

- Premium ingredient COGS sets a hard floor
- Packaging & brand investment needs recovery
- Finance margin targets require strong early unit economics

External factors

- Competitor cluster at £1.80–£2.50 creates space
- Urban consumer WTP for wellness + convenience
- Premium shelf placement requires price parity

Choosing our pricing tools :

Bundling 3-pack at £10.99 (saves £1) or a monthly 12-pack at £42 (saves ~£6). Bundling increases basket size, drives trial across flavours, and builds habit. If discounted, we have to continue with the discounting offers which becomes an on-going process. Bundles let you offer value without destroying the price signal.

The Risks :

Discounting in week 3. Slow early velocity is a distribution or awareness problem. we have to Solve it with a price cut that collapses the reference anchor permanently. Every future price point is a negotiation. If velocity is low: sample more, seed with influencers, run bundles. Therefore we avoid to cut the RRP in the first 90 days.